

TABLE 6.1 Relationship between Dividend Yields and Future Returns

	Below-Median Return	Above-Median Return
Below-median dividend yield	Positive hit	False positive
Above-median dividend yield	False negative	Negative hit

Reprinted with permission from Institutional Investor, Inc. This table originally appeared in the Fall 2000 issue of *Journal of Portfolio Management*. It is illegal to make unauthorized copies. For more information, please visit www.ijournals.com. All rights reserved.

yields enable no statistically significant forecasts of returns in the following year. We also find no statistically significant relationship between dividend yields and returns in the following (nonoverlapping) two-year returns, as depicted in [Table 6.3].

The same is true for the relationship between P/Es and returns during the following year or during the following two (nonoverlapping) years, as depicted in Tables 6.4, 6.5, and 6.6.

For example, while high P/Es were followed by low returns in 32 years, high P/Es were followed by high returns in an equal 32 years. Low dividend yields are followed almost equally by low returns and high returns, and high dividend yields are followed almost equally by high returns and low returns. The same is true for high and low P/Es. Thus, dividend yields and P/Es are unreliable forecasters of shorter-term future returns because they provide so many bad forecasts along with the good ones.

TABLE 6.2 Relationship between Dividend Yields at Beginning of a Year and Stock Returns over Following Year, 1872 to 1999

	Below-Median Return	Above-Median Return	Total
Below-median dividend yield	33	31	64
Above-median dividend yield	31	33	64
Total	64	64	128

Chi-square = 0.03.

Reprinted with permission from Institutional Investor, Inc. This table originally appeared in the Fall 2000 issue of *Journal of Portfolio Management*. It is illegal to make unauthorized copies. For more information, please visit www.ijournals.com. All rights reserved.